KERALA POLYTECHNIC · REVISION 2026

Course 1253 | Semester 1 | Theory | 4 Credits | 60 Hrs

Business Studies

Complete handbook covering business fundamentals, forms of organisation, marketing, finance, HRM, business environment, ethics, and CSR — with Malayalam support, diagrams, calculators, and practice questions.

PROGRAMME	Computer Application & Business Management
SUBJECT CODE	1253
SEMESTER	I
TEACHING SCHEME	4:0:0:0 (L:T:P:R)
CONTACT HOURS	60
CREDITS	4
CIE MARKS	40
ESE MARKS	60

OFFICIAL SOURCE

Source Declaration & Verified Inconsistencies

This handbook is prepared from the official **Kerala Polytechnic Revision 2026** syllabus for **Course 1253 — Business Studies** (Programme: Computer Application & Business Management, Semester I).

> 📄 **Source integrity note:** The PDF contains a single minor inconsistency in the Self-Learning activities table: Week 2 is listed twice with overlapping activity descriptions (Classify business activities using a table / Collect real-life examples... appears in two places). This handbook consolidates these into a single coherent set of activities without omitting any content. All other syllabus data — modules, topics, hours, COs, assessment scheme, and references — are reproduced verbatim.

All educational elaboration, examples, diagrams, calculators, and practice content are provided for learning support and are not part of the official syllabus unless explicitly stated.

AT A GLANCE

Course Dashboard

4
Modules

60
Contact Hours

4
Credits

40+60
CIE / ESE Marks

Course Introduction

This course introduces students to the fundamental concepts of business, commerce, and management. It provides an understanding of how businesses are formed, organised, financed, and managed in a dynamic economic environment. The course covers business objectives, forms of business ownership, management principles, business environment, marketing, finance, and human resources, enabling learners to develop a strong foundation for advanced business and management studies.

Teaching & Assessment Scheme

TEACHING/WEEK	SELF-LEARNING/WEEK	TOTAL HRS/SEM	CREDITS	CIE MARKS	ESE MARKS	ATTE
4	6	60	4	40	60	Include

Teaching scheme per week, self-learning hours, credits, and examination marks breakdown

GUIDE

How to Use This Handbook

1 Understand

Read each module from start to finish. Use the Malayalam support boxes for clarification.

2 Visualise

Study the diagrams and tables. Use the interactive calculators for numerical practice.

3 Apply

Work through the module-wise questions and the model paper. Self-assess with the glossary and revision cards.

4 Revise

Use the Quick Revision cards and Formula Bank for last-minute preparation.

LEARNING TARGETS

Course Outcomes & Objectives

Course Objectives

1. To understand the nature, scope, and objectives of business activities.
2. To familiarise learners with forms of business organisations and management principles.
3. To introduce key business functions such as marketing, finance, and human resource management.
4. To develop awareness of the business environment, ethics, and social responsibility.

Course Outcomes (CO)

CO	COURSE OUTCOME	BLOOM'S LEVEL
CO1	Explain the fundamentals of business, objectives, and classification of business activities	Understand
CO2	Understand forms of business organisation and principles of management	Understand
CO3	Apply concepts of marketing, finance, and human resource management in business situations	Apply
CO4	Understand business environment, ethics, and social responsibility	Understand

Course outcomes mapped to Bloom's Taxonomy levels

CO–PO Mapping

CO	PO1	PO2	PO3	PO4	PO5	PO6	PO7	PO8	PO9	PO10	PO11
CO1	3	2	-	-	-	-	-	-	-	-	-
CO2	3	2	2	-	-	-	-	-	3	-	-
CO3	3	3	3	2	-	-	-	-	2	-	-
CO4	3	2	-	-	3	3	-	-	-	-	-

Course Outcomes mapped to Programme Outcomes (PO1–PO12). Legend: 1=Low, 2=Medium, 3=High; "-" = no correlation.

3 — High 2 — Medium 1 — Low — No correlation

SYLLABUS MAP

Curriculum Coverage

MODULE	TITLE	TOPICS	HOURS	CO	BLOOM
I	Introduction to Business	Nature of business, objectives, classification, industry/commerce, role of business	15	CO1	Remember, Understand
II	Forms of Business Organisation	Sole proprietorship, partnership, company, cooperative society, comparison	15	CO2	Understand, Apply
III	Business Functions	Marketing, finance, entrepreneurship, HRM, production management	15	CO3	Understand, Apply
IV	Business Environment &	Business environment, economic environment, ethics, CSR,	15	CO4	Understand

MODULE	TITLE	TOPICS	HOURS	CO	BLOOM
	Ethics	emerging trends			

Module-wise topics, instructional hours, mapped COs, and Bloom's level

CONNECTIONS

How the Modules Connect

FOUNDATION

I

Introduction to Business

Nature, objectives, classification

STRUCTURE

II

Forms of Organisation

Sole prop., partnership, company, co-op

OPERATIONS

III

Business Functions

Marketing, finance, HRM, production

CONTEXT

IV

Environment & Ethics

Internal/external environment, CSR, trends

Module I provides the foundation → II shows how businesses are structured → III covers how they operate → IV places them in a broader context.

MODULE I

Introduction to Business

⏱️ 15 hours CO1 Remember · Understand

This module introduces the concept of business, its objectives, classification of business activities, and the role of business in the economy. It lays the foundation for understanding how businesses operate and contribute to economic development.

▶ Nature of Business

Definition

Business refers to any economic activity carried out with the primary objective of earning profit through the production, purchase, or sale of goods and services to satisfy human needs.

Features of Business

- **Economic activity:** Business is an economic activity undertaken for monetary gain.
- **Profit motive:** The primary objective is to earn profit.
- **Continuity:** Business involves regular and continuous transactions.
- **Risk and uncertainty:** Every business faces risk due to market fluctuations, competition, and other factors.
- **Exchange of goods/services:** Business involves the exchange of goods or services for value.
- **Customer satisfaction:** Modern business focuses on satisfying customer needs to build loyalty.

> **Malayalam support:** Business [illegible]

> 💡 **Key point:** Business is different from profession (which is skill-based service) and employment (which is working for someone else).

▶ **Objectives of Business**

Economic Objectives

- **Profit earning:** To generate surplus revenue over costs.
- **Growth:** To expand operations, market share, and scale.
- **Survival:** To sustain operations in competitive markets.
- **Efficiency:** To optimise resource utilisation and reduce costs.

Social Objectives

- **Supply of quality goods:** Providing goods and services that are safe and reliable.
- **Fair pricing:** Charging reasonable prices to consumers.
- **Employment generation:** Creating job opportunities.
- **Environmental responsibility:** Minimising pollution and promoting sustainability.
- **Community welfare:** Contributing to local communities through CSR initiatives.

Example: A local grocery store aims to earn ₹50,000 profit monthly (economic objective) while providing fresh produce at fair prices and employing 5 local residents (social objectives).

▶ Classification of Business Activities

Business activities are broadly classified into two categories:

1. Industry

- **Primary industry:** Extraction of natural resources (e.g., agriculture, mining, fishing).
- **Secondary industry:** Manufacturing and construction (e.g., textile mills, automobile factories, building construction).
- **Tertiary industry:** Services that support primary and secondary industries (e.g., banking, transport, insurance).

2. Commerce

- **Trade:** Buying and selling of goods (domestic or international).
- **Aids to trade:** Services that facilitate trade — transport, warehousing, insurance, banking, advertising, and communication.

INDUSTRY	COMMERCE
Concerned with production of goods/services	Concerned with distribution and exchange
Creates utility (form utility)	Creates place and time utility
Involves capital-intensive operations	Involves trading and auxiliary services
Examples: farming, manufacturing	Examples: retail, banking, transport

Comparison of Industry and Commerce

▶ Role of Business in Economy

- **Economic growth:** Business drives GDP growth through production and trade.
- **Employment:** Provides jobs across all skill levels.
- **Innovation:** Encourages new technologies, products, and processes.
- **Wealth creation:** Generates income for owners, employees, and the government through taxes.
- **International trade:** Exports and imports strengthen global economic ties.
- **Infrastructure development:** Business investment supports roads, power, and communication networks.

✅ **Module I Summary:** Business is an economic activity with profit motive, continuity, and risk. Its objectives are both economic (profit, growth) and social (quality, fair pricing, employment). Business activities include industry (primary, secondary, tertiary) and commerce (trade + aids to trade). Business plays a vital role in economic growth, employment, and innovation.

Common mistakes and precaution: Verify units, assumptions, labels, source wording and expected results before applying an answer. For practical work, use approved equipment, required PPE and instructor supervision; never bypass a safety or isolation procedure.

MODULE II

Forms of Business Organisation

⏱️ 15 hours CO2 Understand · Apply

This module covers the major forms of business ownership — sole proprietorship, partnership, company, and cooperative society — along with their features, merits, demerits, and comparisons to help students select the appropriate structure for different business situations.

▸ Sole Proprietorship

Features

- Owned and managed by a single individual.
- Unlimited liability — the owner is personally liable for all debts.
- No legal distinction between owner and business.
- Easy to start and dissolve.

Merits

- Quick decision-making and flexibility.
- Full profit retention by the owner.
- Personal touch with customers.
- Low regulatory compliance.

Demerits

- Unlimited liability — personal assets at risk.
- Limited capital and borrowing capacity.
- Lack of continuity — business ends with owner's death or incapacity.
- Limited managerial expertise.

> **Malayalam support:** Sole proprietorship □□□□□□□□ □□□□□□□□ □□□□□□□□□□ □□□□□□□□. □□□ □□□□□□□□ □□□□□□□ □□□□□□□□□□ □□□□□□□□□□□□□. □□□□□□□□□□□□□□□□ □□□□□□□ (unlimited liability) □□□ □□□□□□□□ □□□□□□□ □□□□□□□□.

> 💡 **Best suited for:** Small retail shops, service providers, freelancers, and local businesses with limited capital needs.

▸ **Partnership**

Definition

A partnership is a business owned and managed by two or more persons who share profits and losses as per a partnership deed.

Types of Partnerships

- **General partnership:** All partners have unlimited liability and participate in management.
- **Limited partnership:** One or more partners have limited liability and do not participate in management.
- **Partnership at will:** No fixed duration; can be dissolved at any time.
- **Particular partnership:** Formed for a specific project or venture.

Merits

- More capital and expertise compared to sole proprietorship.
- Shared risk and decision-making.
- Easy to form with minimal legal formalities.

Demerits

- Unlimited liability for general partners.
- Potential for conflict among partners.
- Lack of continuity — dissolution on death or retirement of a partner.
- Limited capital compared to a company.

▸ Company — Private & Public

Private Company

- Minimum 2 members, maximum 50 (excluding employees).
- Restricted transfer of shares.
- No invitation to the public for shares.
- Limited liability for members.

Public Company

- Minimum 7 members, no maximum limit.
- Shares are freely transferable.
- Can invite the public to subscribe to shares.
- Stricter regulatory compliance (SEBI, ROC).

Merits of a Company

- Limited liability — personal assets are protected.
- Perpetual succession — continuity beyond the lives of members.
- Large capital raising capacity through shares and debentures.
- Professional management.

Demerits

- Complex formation and registration process.
- More regulatory compliance and reporting.
- Separation of ownership and management may lead to agency problems.

▸ Cooperative Society

Cooperative Principles

- **Voluntary and open membership:** Anyone can join freely.
- **Democratic control:** One member, one vote.
- **Member economic participation:** Members contribute capital and share benefits.
- **Autonomy and independence:** Self-governed with external support only when needed.
- **Education, training, and information:** Members and the public are educated about cooperatives.
- **Cooperation among cooperatives:** Cooperatives work together for mutual benefit.
- **Concern for community:** Cooperatives work for sustainable community development.

Examples in India

- **Amul** — Gujarat Cooperative Milk Marketing Federation.
- **IFFCO** — Indian Farmers Fertiliser Cooperative.
- **Kerala State Cooperative Bank** — Banking and financial services.

Example: Amul is a cooperative society of milk producers. It collects milk from farmers, processes it, and markets it under the Amul brand. Profits are shared among member farmers based on their contribution.

▶ **Comparison of Business Forms**

FEATURE	SOLE PROP.	PARTNERSHIP	PRIVATE COMPANY	PUBLIC COMPANY	COOPERATIVE
Members	1	2–50	2–50	7+	10+
Liability	Unlimited	Unlimited (general)	Limited	Limited	Limited
Continuity	No	No	Perpetual	Perpetual	Perpetual
Capital	Limited	Limited	Moderate	Large	Moderate
Regulation	Minimal	Minimal	Moderate	High	Moderate
Control	Owner	Partners	Directors	Directors	Members (1 vote each)

Comparison of Sole Proprietorship, Partnership, Company, and Cooperative

💡 **Selection guide:** Choose sole proprietorship for small, low-risk ventures; partnership for shared expertise and risk; company for large-scale operations needing substantial capital; cooperative for community-based, member-driven services.

✅ **Module II Summary:** The main forms of business are sole proprietorship (single owner, unlimited liability), partnership (2+ owners sharing profits), company (private or public, limited liability, perpetual succession), and cooperative society (member-driven, democratic control). Each has distinct merits and demerits, making them suitable for different business contexts.

MODULE III

Business Functions

⏱️ 15 hours | CO3 | Understand · Apply

This module explores the core functions of a business: marketing, finance, entrepreneurship & innovation, human resource management, and production management. It provides students with a practical understanding of how businesses operate across these functional areas.

▸ Marketing — Concepts, Functions & Mix

Marketing Concept

Marketing is the process of identifying, anticipating, and satisfying customer needs profitably. It focuses on creating value for customers and building strong customer relationships.

Marketing Functions

- **Market research:** Gathering information about customers, competitors, and trends.
- **Product development:** Designing goods/services that meet customer needs.
- **Pricing:** Setting a price that reflects value and covers costs.
- **Promotion:** Communicating the value proposition through advertising, PR, and sales.
- **Distribution:** Ensuring products reach customers through appropriate channels.

Marketing Mix — The 4 Ps

- **Product:** The good or service offered (features, quality, branding).
- **Price:** The amount customers pay (pricing strategy, discounts).
- **Place:** Distribution channels (retail, online, wholesale).
- **Promotion:** Communication activities (advertising, public relations, sales promotion).

> **Malayalam support:** Marketing [illegible] [illegible] [illegible] [illegible] [illegible] [illegible] [illegible]. 4 Ps — Product, Price, Place, Promotion — [illegible] marketing mix-[illegible] [illegible] [illegible].

> 💡 **Real-world example:** Apple uses a premium pricing strategy, invests heavily in product design and innovation, distributes through exclusive stores and online, and promotes through aspirational advertising.

▶ Finance — Meaning, Role & Sources

Meaning of Business Finance

Business finance refers to the management of money and other assets in a business. It involves planning, raising, and using funds to support business operations and growth.

Role of Finance

- Provides capital for starting and running the business.
- Supports expansion and investment in new projects.
- Manages cash flow and liquidity.
- Enables the business to meet its financial obligations.

Sources of Business Finance

- **Internal sources:** Owner's capital, retained earnings, depreciation provisions.
- **External sources:** Bank loans, overdrafts, trade credit, equity shares, debentures, venture capital, government grants.

INTERNAL SOURCES	EXTERNAL SOURCES
Owner's capital	Bank loans
Retained earnings	Equity shares
Depreciation provisions	Debentures
No interest cost	Interest and dividend costs apply
No dilution of control	May dilute ownership

Comparison of Internal and External Sources of Finance

▸ **Entrepreneurship & Innovation**

Concept of Entrepreneurship

Entrepreneurship is the process of identifying opportunities, taking risks, and creating value by starting and managing a new business venture.

Characteristics of Entrepreneurs

- **Innovation:** Ability to create new products, services, or processes.
- **Risk-taking:** Willingness to take calculated risks.
- **Proactiveness:** Taking initiative and acting ahead of opportunities.
- **Persistence:** Overcoming obstacles and not giving up.
- **Leadership:** Inspiring and motivating others.
- **Vision:** Seeing the big picture and future potential.

Role of Innovation in Business Growth

- Drives competitive advantage through unique offerings.
- Improves efficiency and reduces costs.
- Opens new markets and customer segments.
- Attracts investment and talent.

Example: **Successful Indian Entrepreneurs — Ratan Tata** (Tata Group) expanded the group globally through innovation and acquisitions. **Kiran Mazumdar-Shaw** (Biocon) pioneered biotechnology in India. **Bhavish Aggarwal** (Ola) revolutionised urban mobility through ride-sharing innovation.

Challenges Faced by Entrepreneurs

- Access to capital and funding.
- Market competition and customer acquisition.
- Regulatory and compliance hurdles.
- Hiring and retaining talent.
- Managing cash flow and operational risks.

▸ **Human Resource Management (HRM)**

Functions of HRM

- **Recruitment:** Attracting and selecting qualified candidates.
- **Training and development:** Enhancing employee skills and knowledge.
- **Motivation:** Encouraging employees through rewards, recognition, and a positive work environment.
- **Performance management:** Evaluating employee performance and providing feedback.
- **Compensation and benefits:** Designing pay, bonuses, and benefits packages.
- **Employee relations:** Managing workplace relationships and resolving conflicts.

> 💡 **Why HRM matters:** People are the most valuable asset of a business. Effective HRM leads to higher productivity, lower turnover, and better organisational culture.

▶ **Production Management**

Production Processes

- **Job production:** Custom-made products for individual customers (e.g., tailor-made suits).
- **Batch production:** Producing in batches of similar items (e.g., baked goods, pharmaceuticals).
- **Mass production:** Continuous production of large volumes of standardised products (e.g., automobiles, electronics).
- **Continuous production:** 24/7 production of homogeneous goods (e.g., oil refining, sugar).

Productivity Improvement

- **Lean manufacturing:** Eliminating waste and improving flow.
- **Automation:** Using technology to reduce manual labour.
- **Quality management:** Implementing quality control systems (e.g., Six Sigma, ISO).
- **Employee training:** Upskilling workers to improve efficiency.
- **Supply chain optimisation:** Streamlining procurement and logistics.

> **Example:** A textile manufacturing unit uses batch production to produce different fabric designs in lots. It improves productivity by installing automated looms and training workers on quality control techniques.

> ✅ **Module III Summary:** Business functions include marketing (4 Ps: Product, Price, Place, Promotion), finance (sources and management), entrepreneurship (innovation, risk-taking, leadership), HRM (recruitment, training, motivation), and production (process types and productivity improvement). Together, these functions enable a business to operate effectively and grow.

MODULE IV

Business Environment & Ethics

⏱️ 15 hours | CO4 | Understand

This module covers the business environment (internal and external), economic policies, business ethics, corporate social responsibility

(CSR), and emerging trends like digitalisation and globalisation — placing the business in its broader societal and economic context.

▸ **Business Environment — Internal & External**

Internal Environment

- **Organisational culture:** Values, norms, and beliefs shared by employees.
- **Management structure:** Hierarchy, leadership style, and decision-making processes.
- **Human resources:** Skills, experience, and motivation of employees.
- **Financial resources:** Capital, cash flow, and financial health.
- **Physical resources:** Infrastructure, equipment, and technology.

External Environment

- **Micro environment (immediate):** Suppliers, customers, competitors, and market intermediaries.
- **Macro environment (broad):** Political, economic, social, technological, environmental, and legal factors (PESTEL).

FACTOR	EXAMPLES
Political	Government stability, trade policies, taxation
Economic	Inflation, GDP growth, interest rates, employment
Social	Demographics, lifestyle changes, education, cultural trends
Technological	Innovation, automation, R&D, digital infrastructure
Environmental	Climate change, sustainability, resource availability
Legal	Labour laws, consumer protection, corporate regulations

PESTEL Framework — Macro Environmental Factors

▸ **Economic Environment**

Impact of Economic Policies

- **Monetary policy:** Interest rates and money supply affect borrowing costs and investment.
- **Fiscal policy:** Government spending and taxation influence aggregate demand.
- **Industrial policy:** Government support for specific industries (subsidies, incentives).
- **Trade policy:** Tariffs, quotas, and trade agreements affect exports and imports.

Businesses must adapt to changes in economic policies to remain competitive and sustainable.

> **Example:** When the government reduces corporate tax rates, businesses have more after-tax profits to reinvest, leading to potential expansion and job creation.

▶ **Business Ethics**

Ethical Principles in Business

- **Honesty:** Being truthful in all business dealings.
- **Integrity:** Consistently adhering to moral and ethical standards.
- **Fairness:** Treating all stakeholders equitably.
- **Transparency:** Open communication and disclosure of relevant information.
- **Accountability:** Taking responsibility for actions and decisions.
- **Respect:** Valuing the dignity and rights of all individuals.

Examples of Ethical and Unethical Business Practices

✅ **Ethical**

- Honest advertising and labelling
- Fair wages and safe working conditions
- Environmental responsibility
- Protecting customer data

❌ **Unethical**

- False advertising and misleading claims
- Exploitation of labour (child labour, low wages)
- Pollution and environmental damage
- Corruption and bribery

💡 **Importance of ethics:** Ethical businesses build trust with customers, attract better talent, reduce legal risks, and achieve long-term sustainability.

▸ Corporate Social Responsibility (CSR)

Definition

CSR is a self-regulating business model that helps a company be socially accountable to itself, its stakeholders, and the public. It involves voluntary actions that contribute to social, economic, and environmental well-being.

CSR Initiatives

- **Environmental sustainability:** Reducing carbon footprint, waste management, using renewable energy.
- **Community development:** Building schools, hospitals, and infrastructure in underserved areas.
- **Employee welfare:** Health and safety programs, fair wages, and work-life balance.
- **Ethical supply chain:** Ensuring suppliers follow ethical practices.
- **Corporate philanthropy:** Donations to charitable causes and disaster relief.

Example: Tata Group's CSR initiatives include the Tata Memorial Centre for cancer research, the Tata Institute of Social Sciences, and numerous rural development projects. The group also has a strong focus on environmental sustainability.

Malayalam support: CSR [illegible]. [illegible].

▶ **Emerging Trends — Digitalisation & Globalisation**

Digitalisation

- **E-commerce:** Online buying and selling (e.g., Amazon, Flipkart).
- **Digital marketing:** Social media, SEO, and online advertising.
- **Automation and AI:** Using technology to streamline operations.
- **Digital payments:** UPI, mobile wallets, and online banking.
- **Data analytics:** Using data to make better business decisions.

Globalisation

- Increased international trade and investment.
- Access to global markets and supply chains.
- Cultural exchange and cross-border collaboration.
- Challenges: competition, regulatory differences, currency fluctuations.

> 💡 **Key takeaway:** Businesses must embrace digitalisation to stay competitive and navigate globalisation by understanding international markets and regulations.

> ✅ **Module IV Summary:** The business environment includes internal factors (culture, resources) and external factors (micro and macro — PESTEL). Economic policies impact business operations. Business ethics involve honesty, integrity, fairness, and transparency. CSR covers environmental, social, and community initiatives. Emerging trends like digitalisation (e-commerce, AI, digital payments) and globalisation are reshaping the business landscape.

KEY FORMULAS

Formula Bank

Profit Calculation

```
Profit = Total Revenue − Total Cost
```

Revenue = price × quantity sold; Cost = fixed + variable expenses.

Break-even Point (Units)

```
BEP = Fixed Cost / (Selling Price − Variable Cost per Unit)
```

Units needed to sell to cover all costs.

Return on Investment (ROI)

```
ROI = (Net Profit / Total Investment) × 100
```

Measures efficiency of an investment.

Productivity

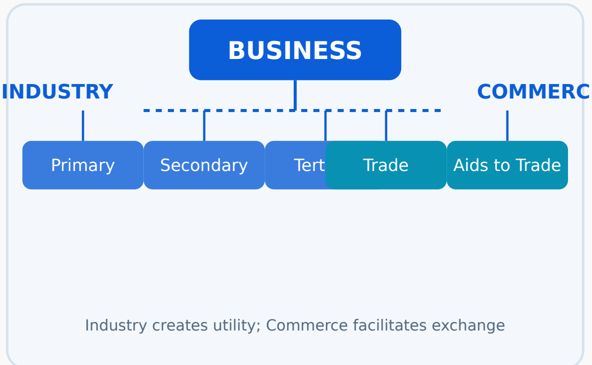
```
Productivity = Output / Input
```

Higher ratio indicates better efficiency.

Note: These formulas are used in business planning, financial analysis, and operational management. Understanding them helps in decision-making and performance evaluation.

VISUAL REFERENCE

Diagram Library for Rapid Revision



Classification of Business Activities: Industry (Primary, Secondary, Tertiary) and Commerce (Trade and Aids to Trade).

Marketing Mix — The 4 Ps: Product, Price, Place, Promotion.

For more diagrams, refer to the diagrams embedded within each module above (Module I classification, Module II comparison table, Module III marketing mix, Module IV PESTEL table).

SELF-LEARNING

Student Activities

The following self-learning activities are officially recommended for each module. Total self-learning hours: 90.

Module I · Introduction to Business

- Define business and identify its characteristics with examples.
- Differentiate between business, profession, and employment.
- Classify business activities (primary, secondary, tertiary) with real-life examples.
- Create a flowchart showing the link between industry and commerce.
- Study a local business and list its economic and social objectives.
- Prepare a glossary of important business terms.

⏱ 24 hours

Module II · Forms of Business Organisation

- Identify businesses around you and classify their form of organisation.
- Interview a shop owner to understand their business structure.
- Study cooperative societies like Amul and list their objectives.
- Prepare a summary table comparing all forms of organisation.
- Suggest suitable forms of organisation for different business situations.

⏱ 18 hours

Module III · Business Functions

- Observe promotional strategies of a company and analyse ads.
- Classify sources of finance for small businesses.
- Study HR and production practices of an organisation.
- Prepare a note on qualities of entrepreneurs with real-world examples.
- List challenges faced by entrepreneurs in starting a business.

⏱ 24 hours

Module IV · Business Environment & Ethics

- Identify ethical issues faced by businesses and provide examples.
- Explain the importance of ethics in business.
- Identify digital tools used by businesses and their benefits.
- Study the role of e-commerce in modern business.
- Prepare a summary note on emerging trends.

⏱ 18 hours

Total self-learning hours: 84 (as consolidated from official activities; official PDF lists 90 with minor duplication).

EXAMINATION

Assessment Methodology & Pattern

CIE & ESE Breakdown

MODE	ATTENDANCE	CA1	CA2	CA3	CA4	CA5	CA6	ES
Component	Attendance	Self-learning (Module 1)	Self-learning (Module 2)	Self-learning (Module 3)	Self-learning (Module 4)	Series Exam (2 modules)	Series Exam (2 modules)	Wr Ex (th
Duration	—	2 hrs	2 hrs	2 hrs	2 hrs	2.5 hrs	2.5 hrs	2.5
Exam marks	—	15	15	15	15	50	50	60
Converted to	5	15 (total for all self-learning)				20 (total for series exams)		60

Continuous Internal Evaluation (CIE) and End Semester Examination (ESE) scheme

Total CIE: 40 marks (5 attendance + 15 self-learning + 20 series exams). ESE: 60 marks.

Series Examination Pattern (Theory)

TIME	MODULE	PART A (1 MARK EACH)	PART B (3 MARKS EACH)	PART C (7 MARKS EACH, WITH CHOICE)	TOTAL
2 hrs	Any one module	2 questions × 1 = 2	1 question × 3 = 3	1 set × 7 = 7	12
2 hrs	Any one module	2 questions × 1 = 2	1 question × 3 = 3	1 set × 7 = 7	12
Total		4 questions = 4	2 questions = 6	2 sets = 14	**25**

Series exam structure: 2 hours, total 25 marks

End Semester Examination Pattern (Theory)

MODULE	PART A (1 MARK EACH)	PART B (3 MARKS EACH)	PART C (7 MARKS EACH, WITH CHOICE)	TOTAL MARKS
1	2 questions × 1 = 2	2 questions × 3 = 6	1 set × 7 = 7	15
2	2 questions × 1 = 2	2 questions × 3 = 6	1 set × 7 = 7	15
3	2 questions × 1 = 2	2 questions × 3 = 6	1 set × 7 = 7	15
4	2 questions × 1 = 2	2 questions × 3 = 6	1 set × 7 = 7	15
Total	**8 questions = 8**	**8 questions = 24**	**4 sets = 28**	**60**

ESE structure: 2.5 hours, 60 marks total, covering 4 modules

Part C includes internal choice. The question paper covers all four modules proportionally.

PRACTICE

Module-wise Questions with Answers

Module I · Introduction to Business

▸ 1. What is business? List its key features.

Answer: Business is an economic activity carried out with the primary objective of earning profit through the production, purchase, or sale of goods and services to satisfy human needs.
Key features:

- Economic activity
- Profit motive
- Continuity and regularity
- Risk and uncertainty
- Exchange of goods/services
- Customer satisfaction

▸ 2. Distinguish between industry and commerce.

Answer:

INDUSTRY	COMMERCE
Concerned with production of goods/services	Concerned with distribution and exchange
Creates form utility	Creates place and time utility
Capital-intensive	Involves trading and auxiliary services
Examples: farming, manufacturing	Examples: retail, banking, transport

▸ 3. What are the economic and social objectives of business?

Economic objectives: Profit earning, growth, survival, efficiency.
Social objectives: Supply of quality goods, fair pricing, employment generation, environmental responsibility, community welfare.

▸ 4. Explain the role of business in the economy.

Business plays a vital role in the economy through:

- **Economic growth:** Drives GDP through production and trade.
- **Employment:** Provides jobs across all skill levels.
- **Innovation:** Encourages new technologies and processes.
- **Wealth creation:** Generates income and tax revenue.

- **International trade:** Strengthens global economic ties.
- **Infrastructure development:** Supports roads, power, and communication.

Module II · Forms of Business Organisation

▸ 1. What is sole proprietorship? List its merits and demerits.

Definition: A business owned and managed by a single individual with unlimited liability.
Merits: Quick decision-making, full profit retention, personal touch, low compliance.
Demerits: Unlimited liability, limited capital, lack of continuity, limited expertise.

▸ 2. Distinguish between a private company and a public company.

PRIVATE COMPANY	PUBLIC COMPANY
Min 2, max 50 members	Min 7, no max limit
Restricted share transfer	Freely transferable shares
Cannot invite public for shares	Can invite public to subscribe
Less regulatory compliance	Stricter compliance

▸ 3. What are the principles of a cooperative society?

- Voluntary and open membership
- Democratic control (one member, one vote)
- Member economic participation
- Autonomy and independence
- Education, training, and information
- Cooperation among cooperatives
- Concern for community

▸ 4. Compare sole proprietorship, partnership, and company based on liability, continuity, and capital.

FEATURE	SOLE PROP.	PARTNERSHIP	COMPANY
Liability	Unlimited	Unlimited (general)	Limited
Continuity	No	No	Perpetual

Capital	Limited	Limited	Large

Module III · Business Functions

▸ 1. Explain the 4 Ps of the marketing mix.

- **Product:** The good or service offered (features, quality, branding).
- **Price:** The amount customers pay (pricing strategy, discounts).
- **Place:** Distribution channels (retail, online, wholesale).
- **Promotion:** Communication activities (advertising, PR, sales promotion).
These 4 Ps work together to satisfy customer needs and achieve business objectives.

▸ 2. What are the sources of business finance? Classify them into internal and external.

Internal sources: Owner's capital, retained earnings, depreciation provisions.
External sources: Bank loans, overdrafts, trade credit, equity shares, debentures, venture capital, government grants.

▸ 3. What are the characteristics of a successful entrepreneur?

- **Innovation:** Creating new products, services, or processes.
- **Risk-taking:** Taking calculated risks.
- **Proactiveness:** Taking initiative and acting ahead of opportunities.
- **Persistence:** Overcoming obstacles.
- **Leadership:** Inspiring and motivating others.
- **Vision:** Seeing the big picture.

▸ 4. List the functions of Human Resource Management (HRM).

- **Recruitment:** Attracting and selecting qualified candidates.
- **Training and development:** Enhancing employee skills.
- **Motivation:** Encouraging employees through rewards and recognition.
- **Performance management:** Evaluating and providing feedback.
- **Compensation and benefits:** Designing pay packages.
- **Employee relations:** Managing workplace relationships.

Module IV · Business Environment & Ethics

▸ 1. What is the business environment? Explain its internal and external components.

Business environment includes all factors that affect business operations.

Internal environment: Organisational culture, management structure, human resources, financial resources, physical resources.
External environment: Micro (suppliers, customers, competitors) and Macro (PESTEL — Political, Economic, Social, Technological, Environmental, Legal).

▸ **2. What is Corporate Social Responsibility (CSR)? Give examples.**

CSR is a self-regulating business model that makes a company socially accountable to stakeholders and the public.
Examples: Environmental sustainability, community development, employee welfare, ethical supply chain, corporate philanthropy.
Real-world example: Tata Group's CSR initiatives include cancer research, social sciences, and rural development.

▸ **3. What are the ethical principles in business?**

- **Honesty:** Truthfulness in business dealings.
- **Integrity:** Consistently adhering to ethical standards.
- **Fairness:** Treating all stakeholders equitably.
- **Transparency:** Open communication and disclosure.
- **Accountability:** Taking responsibility for actions.
- **Respect:** Valuing the dignity and rights of individuals.

▸ **4. Discuss the impact of digitalisation and globalisation on modern business.**

Digitalisation: E-commerce, digital marketing, automation, digital payments, and data analytics have transformed how businesses operate, enabling efficiency and global reach.
Globalisation: Increased international trade, access to global markets, cross-border collaboration, and cultural exchange. Challenges include competition, regulatory differences, and currency fluctuations.
Businesses must embrace digitalisation and navigate globalisation to stay competitive.

PRACTICE EXAM

Model Question Paper

> 📝 **Note:** This is a practice model paper based on the official examination pattern. It is **not** an official SITTTR question paper and is provided solely for study and revision purposes.

Course 1253 — Business Studies

Duration: 2.5 hours | **Total Marks:** 60
All modules are covered proportionally. Part A: 1 mark each, Part B: 3 marks each, Part C: 7 marks each (with internal choice).

Part A (8 × 1 = 8 marks)

1. What is the primary objective of business?
2. List any two features of sole proprietorship.
3. Define the term 'marketing mix'.
4. What is the meaning of 'limited liability' in a company?
5. Name any two sources of internal finance.
6. What is CSR? Write one example.
7. What are 'aids to trade'? Give one example.
8. List any two principles of a cooperative society.

Part B (8 × 3 = 24 marks)

1. Distinguish between industry and commerce with suitable examples.
2. Explain the merits and demerits of a partnership firm.
3. Describe any three functions of marketing.
4. What are the challenges faced by entrepreneurs in starting a business?
5. Explain the components of the internal business environment.
6. Discuss the impact of economic policies on business.
7. Differentiate between private and public companies.
8. List and explain any three functions of Human Resource Management.

Part C (4 × 7 = 28 marks) — Answer *any one* from each set

Module I

Option 1: Explain the classification of business activities into industry and commerce with a detailed description of each sub-category.
Option 2: What are the economic and social objectives of business? Explain each with suitable examples.

Module II

Option 1: Compare sole proprietorship, partnership, and company on the basis of formation, liability, capital, and continuity.
Option 2: What is a cooperative society? Explain its principles and give a real-world example from India.

Module III

Option 1: Explain the concept of marketing mix (4 Ps) with a detailed description of each element.
Option 2: What is entrepreneurship? Describe the characteristics of an entrepreneur and the role of innovation in business growth.

Module IV

Option 1: Explain the internal and external business environment with the help of the PESTEL framework.
Option 2: Define business ethics and CSR. Explain the importance of ethics and describe CSR initiatives with examples.

— End of Model Paper —

LAST-MINUTE

Quick Revision Cards

Module I · Introduction to Business

- **Business:** Economic activity with profit motive, continuity, risk.
- **Objectives:** Economic (profit, growth) & Social (quality, fair pricing, employment).
- **Industry:** Primary, Secondary, Tertiary.
- **Commerce:** Trade + Aids to trade (transport, banking, insurance, etc.).
- **Role:** GDP growth, employment, innovation, wealth creation.

Module II · Forms of Organisation

- **Sole prop.:** Single owner, unlimited liability, limited capital.
- **Partnership:** 2+ owners, unlimited liability, shared risk.
- **Company:** Limited liability, perpetual succession, large capital.
- **Cooperative:** Member-driven, democratic (1 vote per member).
- **Comparison:** Liability, continuity, capital, regulation differ.

Module III · Business Functions

- **Marketing:** 4 Ps — Product, Price, Place, Promotion.
- **Finance:** Internal (owner's capital, retained earnings) & External (loans, shares).
- **Entrepreneurship:** Innovation, risk-taking, proactiveness, leadership.
- **HRM:** Recruitment, training, motivation, performance management.
- **Production:** Job, batch, mass, continuous; productivity improvement.

Module IV · Environment & Ethics

- **Internal environment:** Culture, structure, resources.
- **External:** PESTEL — Political, Economic, Social, Technological, Environmental, Legal.
- **Ethics:** Honesty, integrity, fairness, transparency, accountability.
- **CSR:** Environmental, social, community, employee welfare.

- **Trends:** Digitalisation (e-commerce, AI) & Globalisation.

⚠️ Common Mistakes to Avoid

- **Confusing industry with commerce:** Industry is production; commerce is distribution.
- **Mixing up liability types:** Sole prop. = unlimited; company = limited.
- **Overlooking social objectives:** Business is not just about profit — CSR, fairness, and ethics matter.
- **Forgetting the 4 Ps:** Marketing mix includes all four — not just promotion.
- **Confusing internal vs external finance:** Internal = owner/retained; external = loans/shares.

✅ Exam Checklist

- ✓ Know the definition and features of business.
- ✓ Be able to classify business activities (industry + commerce).
- ✓ Compare forms of organisation (sole prop., partnership, company, co-op).
- ✓ Explain the 4 Ps of marketing and sources of finance.
- ✓ Define entrepreneurship and HRM functions.
- ✓ Describe PESTEL, business ethics, and CSR.
- ✓ Know emerging trends: digitalisation and globalisation.
- ✓ Practice numerical problems (profit, BEP, ROI, productivity).

DEFINITIONS

Glossary of Important Terms

TERM	MEANING
Business	Economic activity with profit motive, continuity, and risk.
Commerce	Distribution and exchange of goods, including trade and aids to trade.
Industry	Production of goods/services; classified as primary, secondary, tertiary.
Sole Proprietorship	Business owned and managed by a single individual with unlimited liability.
Partnership	Business owned by 2+ persons sharing profits/losses.
Private Company	Limited liability, restricted share transfer, min 2/max 50 members.
Public Company	Limited liability, freely transferable shares, min 7 members.
Cooperative Society	Member-driven organisation with democratic control (1 vote per member).
Marketing Mix (4 Ps)	Product, Price, Place, Promotion — the core elements of marketing.
Entrepreneurship	Process of identifying opportunities, taking risks, and creating value.

TERM	MEANING
HRM	Human Resource Management — functions include recruitment, training, motivation.
CSR	Corporate Social Responsibility — voluntary social, environmental, and community actions.
PESTEL	Political, Economic, Social, Technological, Environmental, Legal — macro environmental factors.
Digitalisation	Use of digital technology (e-commerce, AI, digital payments) in business.
Globalisation	Integration of economies through international trade and investment.

Key business terms and their one-line meanings

RESOURCES

References & Web Resources

Textbooks

- **Business Studies** — N. S. Chhabra, McGraw-Hill
- **Principles of Management** — Koontz & O'Donnell, McGraw-Hill

Web Resources (Official)

- (Module I)
- (Module I="_blank" rel="noopener">Times Pro — Business Objectives (Module I)
- (Module II)
- OpenStax — CSR (Module IV)
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